OFFICE OF THE UNIVERSITY ACCOUNTANT

VISION STATEMENT

A globally recognized state university.

MISSION STATEMENT

Negros Oriental State University delivers global excellence through advanced instruction, impactful research, and modern infrastructure shaping effective leaders to serve the Philippine society and the world.

QUALITY POLICY

Negros Oriental State University commits to delivering quality instruction, research, extension and production. We ensure compliance with all statutory and regulatory requirements and continuously work to improve our management system to meet our quality objectives.

Approved BOR No. 133 s. 2024 Embodied in ISO 9001:2015 (27-9-2019); (05-08-2020)

ISO 9001:2015 Internalization (30-10-2019)

ISO 9001:2015 Registration (27-05-2019)

Remote Surveillance Certification (05-05-2020)

Accounting Memorandum No. 2, s. 2026

TO/FOR: ALL PART-TIME FACULTY (TEACHING/PRACTICE OF PROFESSION), CONTRACT OF SERVICE STAFF (OTHER PROFESSIONAL SERVICES), JOB ORDER, CAMPUS DIRECTORS AND RESPECTIVE DEANS OF ALL COLLEGES/ HEAD OF OFFICES

SUBJECT: Clarification on the Submission of Notarized Sworn Declaration of Gross Receipts/Sales for FY 2026 in relation to Accounting Memorandum No. 1, s. 2026

DATE: JANUARY 12, 2026

I. BACKGROUND

This Memorandum is issued to address and clarify concerns raised by Job Order (JO) and Contract of Service (COS) workers regarding the implementation of Accounting Memorandum No. 1, s. 2026, particularly on the requirement to submit a Sworn Declaration for tax purposes.

This clarification is issued in accordance with Revenue Regulations (RR) Nos. 8-2018 and 11-2018, and Revenue Memorandum Circular (RMC) Nos. 50-2018 and 51-2018, to ensure uniform understanding, proper tax compliance, and consistent application of withholding tax rules, while safeguarding the University from audit disallowances and adverse audit observations.

II. COVERAGE

This Memorandum applies to all individuals engaged by the University under JO and COS arrangements, regardless of the amount of compensation received.

III. QUESTIONS (Issues and Concerns) AND ANSWERS

Q1: Are JO and COS workers required to submit a Sworn Declaration?
A1: Yes. Under RR Nos. 8-2018 and 11-2018, as clarified by RMC Nos. 50-2018 and 51-2018, all JO and COS workers are required to submit a duly notarized Sworn Declaration if they intend to avail of exemption from or a reduced rate of withholding tax.

Q2: What is the legal basis for requiring the Sworn Declaration?
A2: RR No. 8-2018 mandates the submission of a Sworn Declaration to support claims for exemption or reduced withholding tax.

Disclaimer: The information transmitted by this document is intended only for the person or entity to which it is addressed. This document may contain proprietary, business-confidential and/or privileged material. If you are not the intended recipient of this message, be aware that any use, review, retransmission, distribution, reproduction or any action taken in reliance upon this message is strictly prohibited. If you received this in error, please contact the sender. Thank you.

OFFICE OF THE UNIVERSITY ACCOUNTANT

VISION STATEMENT

A globally recognized state university.

MISSION STATEMENT

Negros Oriental State University delivers global excellence through advanced instruction, impactful research, and modern infrastructure shaping effective leaders to serve the Philippine society and the world.

QUALITY POLICY

Negros Oriental State University commits to delivering quality instruction, research, extension and production. We ensure compliance with all statutory and regulatory requirements and continuously work to improve our management system to meet our quality objectives.

Approved BOR No. 133 s. 2024 Embodied in ISO 9001:2015 (27-9-2019); (05-08-2020)

ISO 9001:2015 Internalization (30-10-2019)

ISO 9001:2015 Registration (27-05-2019)

Remote Surveillance Certification (05-05-2020)

RR No. 11-2018 clarifies that JO and COS workers are not considered employees, and their income is subject to creditable withholding tax.

RMC Nos. 50-2018 and 51-2018 provide detailed guidelines on the mandatory submission, form, and effect of the Sworn Declaration.

Q3: What is the purpose of the Sworn Declaration?
A3: The Sworn Declaration serves as the documentary basis for determining the proper withholding tax rate and declares that the individual qualifies for exemption or reduced withholding based on total income.

Q4: Are JO and COS workers considered employees for tax purposes?
A4: No. Under RR No. 11-2018 and RMC No. 51-2018, JO and COS workers are classified as self-employed individuals or professionals, and their income is subject to creditable withholding tax, not compensation income tax.

Q5: If a JO or COS worker receives ₱6,000 or less per month, is the income automatically exempt from withholding tax?
A5: No. RMC Nos. 50-2018 and 51-2018 expressly state that income of ₱6,000 or less per month is not automatically exempt. A duly notarized Sworn Declaration must still be submitted. Otherwise, withholding tax shall apply.

Q6: What happens if no Sworn Declaration is submitted?
A6: In the absence of a Sworn Declaration, the Accounting Office shall automatically apply the applicable creditable withholding tax, regardless of the amount of income received.

Q7: What types of income are covered?
A7: Covered income includes, but is not limited to:

1. Professional and consultancy fees;
2. Service fees under JO or COS contracts;
3. Honoraria and project-based payments

Q8: Is the Sworn Declaration required every year?
A8: Yes. The Sworn Declaration must be submitted annually or whenever there is a change in income circumstances.

Q9: Where can I secure the Sworn Declaration form?
A9: The form may be obtained from the Campus Accounting Office or downloaded from the Bureau of Internal Revenue (BIR) website.

Q10: If a JO or COS worker thinks that he/she is exempt yet tax was withheld, can he/she still get a refund?
A10: Any claim for a tax refund must be filed directly with the BIR, as the University cannot process adjustments once the withheld taxes have been remitted.

Disclaimer: *The information transmitted by this document is intended only for the person or entity to which it is addressed. This document may contain proprietary, business-confidential and/or privileged material. If you are not the intended recipient of this message, be aware that any use, review, retransmission, distribution, reproduction or any action taken in reliance upon this message is strictly prohibited. If you received this in error, please contact the sender. Thank you.*

VISION STATEMENT

A globally recognized state university.

MISSION STATEMENT

Negros Oriental State University delivers global excellence through advanced instruction, impactful research, and modern infrastructure shaping effective leaders to serve the Philippine society and the world.

QUALITY POLICY

Negros Oriental State University commits to delivering quality instruction, research, extension and production. We ensure compliance with all statutory and regulatory requirements and continuously work to improve our management system to meet our quality objectives.

Approved BOR No. 133 s. 2024 Embodied in ISO 9001:2015 (27-9-2019); (05-08-2020)

ISO 9001:2015 Internalization (30-10-2019)

ISO 9001:2015 Registration (27-05-2019)

Remote Surveillance Certification (05-05-2020)

Q11: If a JO or COS worker has multiple sources of income, can they still claim exemption?
A11: Yes, provided that the total gross income from all sources does not exceed ₱250,000 for the taxable year and the worker submits a duly notarized Sworn Declaration declaring such fact.

However, if the total gross income from all sources exceeds ₱250,000, the income shall be subject to the appropriate withholding tax, in accordance with existing BIR rules and regulations.

Q12: Does submission of a Sworn Declaration automatically mean no tax will be withheld?
A12: No. The Sworn Declaration only serves as a basis for determining whether the income is exempt or subject to withholding. If income exceeds the threshold or does not qualify, withholding tax shall still apply.

Q13: What supporting documents are required to be submitted together with the Sworn Declaration?
A13: JO and COS workers are required to submit the following documents together with their duly notarized Sworn Declaration:

1. A copy of the duly accomplished and notarized Sworn Declaration (as prescribed by the BIR);
2. A valid government-issued ID of the declarant;
3. A copy of the Job Order or Contract of Service agreement for the current taxable year; and
4. Other documents, if any, that may be required to substantiate the income declared.

Q14: Is a Sworn Declaration alone sufficient without supporting documents?
A14: No. While the Sworn Declaration is the primary document, it must be supported by the required documents to confirm the identity, contractual engagement, and income classification of the JO or COS worker. Incomplete submissions shall be considered non-compliant.

Q15: What is the deadline for submission?
A15: The Sworn Declaration must be submitted on or before the first payment of income or at the beginning of the taxable year. For CY 2026 where our JO and COS are still complying with the required documents the deadline is moved to January 26, 2026.

Q16: When is the deadline for part-time instructors who still have no updated Contract of Service?
A16: As stated in Accounting Memorandum No. 1, s. 2026, Part-Time Faculty, under COS, who are unable to secure BIR Form 1901 due to the absence of an updated contract—in view of the ongoing semestral break and the scheduled issuance of COS in February 2026—are, as clarified with the BIR, allowed to submit their notarized Sworn Declaration directly to the BIR on an individual basis.

Disclaimer: The information transmitted by this document is intended only for the person or entity to which it is addressed. This document may contain proprietary, business-confidential and/or privileged material. If you are not the intended recipient of this message, be aware that any use, review, retransmission, distribution, reproduction or any action taken in reliance upon this message is strictly prohibited. If you received this in error, please contact the sender. Thank you.

OFFICE OF THE UNIVERSITY ACCOUNTANT

VISION STATEMENT

A globally recognized state university.

MISSION STATEMENT

Negros Oriental State University delivers global excellence through advanced instruction, impactful research, and modern infrastructure shaping effective leaders to serve the Philippine society and the world.

QUALITY POLICY

Negros Oriental State University commits to delivering quality instruction, research, extension and production. We ensure compliance with all statutory and regulatory requirements and continuously work to improve our management system to meet our quality objectives.

Approved BOR No. 133 s. 2024 Embodied in ISO 9001:2015 (27-9-2019); (05-08-2020)

ISO 9001:2015 Internalization (30-10-2019)

ISO 9001:2015 Registration (27-05-2019)

Remote Surveillance Certification (05-05-2020)

A copy of the Sworn Declaration duly received and stamped by the BIR shall thereafter be submitted to the respective Campus Accounting Office for record and compliance purposes once available.

Q17: Why is strict compliance required?
A17: Strict compliance ensures adherence to BIR regulations, promotes fiscal accountability, and prevents the issuance of Commission on Audit (COA) Audit Observation Memoranda (AOMs) due to improper or unsupported withholding of taxes.

IV. DIRECTIVE

All concerned are hereby directed to comply strictly with the provisions of this Memorandum. Failure to submit the required Sworn Declaration within the prescribed period shall result in the automatic application of the applicable withholding tax, without exception.

We respectfully seek the support and cooperation of all Campus Directors, Deans of Colleges and Heads of Offices in disseminating this Memorandum to the JO and COS workers within their respective campus and units.

For strict compliance.

MAURICE ANAVER B. DORDADO, CPA
University Chief Accountant

Noted by:

RENE BOY A. CATUBIG, CPA, MBA
Chief Administrative Officer-Finance

Recommending Approval:

MERIVIC G. CATADA, Ph.D.
Vice President for Administration and Finance

Approved:

NOEL MARJON E YASI, Psy.D.
University President

Disclaimer: The information transmitted by this document is intended only for the person or entity to which it is addressed. This document may contain proprietary, business-confidential and/or privileged material. If you are not the intended recipient of this message, be aware that any use, review, retransmission, distribution, reproduction or any action taken in reliance upon this message is strictly prohibited. If you received this in error, please contact the sender. Thank you.